COMMONWEALTH OF KENTUCKY
COURT OF APPEALS
CASE NO. 2024-CA-0629

COMMONWEALTH OF KENTUCKY, *ex rel.* Attorney General Russell Coleman	On Appeal from Franklin Circuit Court No. 23-CI-0082	**APPELLANT**
V.		
PERRY COUNTY FISCAL COURT, *et al.*		**APPELLEES**

BRIEF AMICUS CURIAE OF THE KENTUCKY RESTAURANT ASSOCIATION IN SUPPORT OF APPELLANT, COMMONWEALTH OF KENTUCKY

Respectfully submitted,

Mark A. Loyd (#88976)
Stephanie M. Bruns (#97864)
Helen V. Cooper (#97200)
DENTONS BINGHAM GREENEBAUM LLP
3500 PNC Tower
101 South Fifth Street
Louisville, KY 40202
(502) 587-3552
mark.loyd@dentons.com
Counsel for Amicus Curiae Kentucky Restaurant Association

CERTIFICATE OF SERVICE

I hereby certify that on February 18, 2025, I electronically filed this brief in the Office of the Clerk of the Kentucky Court of Appeals and I served, via U.S. Mail: Matthew F. Kuhn, John H. Heyburn and Jacob M. Abrahamson, Office of the Attorney General, 700 Capital Avenue, Suite 118, Frankfort, KY 40601; Edwin A. Jones and Jared K. Holt, Boehl Stopher & Graves LLP, 410 Broadway, Paducah, KY 42001; Jeffrey C. Mando and Jennifer L. Langen, Adams Law, PLLC, 40 West Pike Street, Covington, KY 41011; S. Travis Mayo, Taylor Payne, and Laura C. Tipton, Office of the Governor, 700 Capital Avenue, Suite 106, Frankfort, KY 40601; Matt Stephens and David Gibson, Office of the Governor, Department for Local Government, 100 Airport Road, Third Floor, Frankfort, KY 40601; and Clerk, Franklin Circuit Court, Franklin County Courthouse, 222 St. Clair Street, Frankfort, KY 40601. I further certify that the record was not withdrawn in preparing this brief.

/s/ *Mark A. Loyd*
Mark A. Loyd

INTRODUCTION

This appeal arises from the Franklin Circuit Court's order which is contrary to the separation of powers between the General Assembly and the judiciary and to the authority the General Assembly specifically granted to a limited class of cities to impose a restaurant tax. Amicus Curiae, Kentucky Restaurant Association ("KRA") asserts this decision was in error and is an issue of great concern to KRA and its members. This is because the expansive overreach of the Circuit Court's reasoning could be applied to any city in the Commonwealth, extending to all Kentucky cities the ability to seek authorization to impose restaurant taxes from the courts instead of the General Assembly. If not reversed, the Circuit Court's order can be anticipated to significantly impact KRA's members across Kentucky.

STATEMENT OF INTEREST OF AMICUS CURIAE

KRA is a non-profit organization consisting of restaurant businesses throughout the Commonwealth. KRA began when two local restaurant associations came together in 1964 and has now grown to over 1,000 members. The KRA helps its members with the daily questions and problems in their business, including health, safety, compliance, and management issues. KRA works on many levels to protect the interests of its small business members in Kentucky, in conjunction with the National Restaurant Association and the Kentucky Retail Federation.

Amicus has a strong interest in this case concerning the restaurant tax because its outcome directly impacts all KRA members. As tax collection agents for the Commonwealth, restaurants like the members of KRA are tasked with understanding, knowing, and complying with Kentucky law concerning restaurant sales, including the restaurant tax at issue here. Moreover, KRA and its members have an interest in preserving the expectations of its members in restaurant taxes and the costs of compliance with such taxes. Consequently, KRA submits this brief to provide the restaurant industry perspective on the impact, scope, and errors of the lower court's decision concerning the restaurant tax.

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ARGUMENT

Amicus Curiae, KRA, writes in support of Appellant, the Commonwealth of Kentucky. The Circuit Court's order should be vacated and remanded to dismiss for lack of standing; or, at least, the remedy ordered should be reversed. KRS 91A.400 is not unconstitutional. Appellee, the City of Hazard et al., is simply unhappy with the authority with which the General Assembly delegated. Rather than seeking the authority it desires (to enact a restaurant tax) from the body with the power to grant it, i.e., the General Assembly, Hazard impermissibly sought legislative relief from a judicial body. And, the lower court improperly granted relief it is not empowered to provide. This Court should correct these errors.

I. The Impact of the Circuit Court's Order Is Significant, and Must Be Corrected.

A. The Scope of the Circuit Court's Order Potentially Extends Well Beyond the City Involved – to Every City in the Commonwealth, All Restaurant Businesses, and All Their Patrons – Upending the Clarity and Stability Enjoyed by Kentucky's Restaurants and Patrons Since 1991.

Though the appeal originates from the claimed impact of KRS 91A.400 on one city, the impact of the Circuit Court's order may potentially be felt by all restaurants throughout the Commonwealth as well as their patrons, beyond just those in Hazard. The reasoning of the lower court's order provides a blueprint for every city in the Commonwealth to seek authority to impose a restaurant tax from any court– a huge expansion from the limited list the General Assembly authorized. The lower court thus entirely circumvents the General Assembly's outlined grants of authority, which, since 1991, defined which cities may impose a restaurant tax. The statute's narrow scope meant that restaurants had the ability to prepare for the known and predictable additional costs of operations and tax compliance accordingly. And, it allowed patrons across Kentucky to similarly hold reasonable expectation of restaurant meal costs. Indeed, the General Assembly's decision to update the fluctuating, population-based city categories to fixed, certain categories provided clarity and stability to the restaurant industry in monitoring restaurant tax legislation only in those cities which had such authority. The lower court's order provides a roadmap for the unforeseen expansion of authority to every city in the

state, which increases the costs of tax compliance exponentially and requires the industry to monitor and track every city in the Commonwealth. Further, because Kentucky does not have a centralized filing system for the restaurant tax, the lower court's order allowing courts, to expand taxing authority would require tracking and filing separate returns and procedures in many cities – imposing additional administrative cost that only the General Assembly has the power to impose. In short, the Circuit Court's decision exponentially overreaches.

B. KRS 19A.400 Reflects a Proper Exercise of Legislative Authority to Clearly Limit the Authority to Impose a Restaurant Tax to Certain Cities.

The Kentucky Constitution expressly grants the General Assembly the power to legislate and create distinctions between cities. Ky. Const. §157A ("The General Assembly shall create such classifications of cities as it deems necessary based on population…or any other reasonable basis and enact legislation relating to the classifications."). "The city cannot invoke the protection of the Fourteenth Amendment against the state." *City of Newark v. State of New Jersey*, 262 U.S. 192, 196 (1923). "A municipal corporation, created by a state for the better ordering of government, has no privileges or immunities under the Federal Constitution which it may invoke in opposition to the will of its creator." *Williams v. Mayor & City Council of Baltimore*, 289 U.S. 36, 40 (1933).

In the context of such authority, the General Assembly enacted the amendment to KRS 91A.400. In 2014, the General Assembly determined that only "cities that as of January 1, 2014, were classified as cities of the fourth or fifth class" were authorized to "levy an additional restaurant tax not to exceed three percent (3%) of the retail sales." KRS 91A.400. As amended, the plain language of KRS 91A.400 created a classification for purposes of taxation, to grant the privilege to enact a restaurant tax to some cities, necessarily at the exclusion of others - as contemplated and permissible under Kentucky law. Although it was an amendment, the change in statutory language reflected an intent to preserve the status quo – such that those cities granted authority to impose a restaurant tax prior to the amendment maintained such authority. The General Assembly obviously chose not to extend restaurant tax authority beyond such cities.

"No rule of statutory construction has been more definitely stated or more often repeated than the cardinal rule that significance and effect shall, if possible, be accorded to every part of the Act." *George v. Scent*, 346 S.W.2d 784, 789 (Ky. 1961). The "goal in construing a statute is to give effect to the intent of the General Assembly, and we derive that intent, if at all possible, from the plain meaning of the language the General Assembly chose." *King Drugs, Inc. v. Commonwealth*, 250 S.W.3d 643, 645 (Ky. 2008). As amended, KRS 91A.400 evidences an intent to create a bright-line classification clearly designating which cities fell on the side of the line with authority to impose a restaurant tax, and those that did not. Here, in contravention of such manifest intent of the General Assembly to limit the authority to impose such a tax to certain, defined cities, the Circuit Court's order allows for any city in the Commonwealth to go to the judiciary to seek such authority, potentially resulting in a state-wide restaurant tax, an impermissible exercise of power.

II. The Circuit Court's Remedy Violates the Kentucky Constitution's Separation of Powers Mandate.

The power to change, i.e., amend, the wording of a statute so as to permit all cities to impose a restaurant tax is a power the Kentucky Constitution vests exclusively in the General Assembly. Our courts' power lies in interpreting the law, and they cannot substitute their own judgment for that of the legislature without running afoul of the Kentucky Constitution. *Scheer v. Zeigler*, 21 S.W.3d 807, 813 (Ky. App. 2000). When the Circuit Court altered the text of KRS 91A.400, under color of the doctrine of severability [KRS 446.090], thus extending taxing authority for the restaurant tax from those cities the General Assembly authorized to the City of Hazard, the lower court improperly assumed the powers and functions of the legislative branch.[1]

[1]Originally, the lower court's order applied to all similar-situated cities. On August 15, 2024, the Circuit Court amended its original order to extend application of the prescribed remedy only to the parties to the action, and specifically to the City of Hazard. However, without this Court's intervention, the same reasoning could be applied to cities in other actions.

A. Separation of Powers Requires Strict Construction of a Trial Court's Crafting of a Remedy to Prevent Unlawful Exercise of a Legislative Power.

Kentucky Constitution Sections 27 and 28, acting cohesively, mandate the separation of powers between each branch of the government, and specifically forbid one branch from usurping the powers of another. As recently as April of 2024, the Kentucky Supreme Court reiterated that "[p]erhaps no state forming a part of the national government of the United States has a Constitution whose language more emphatically separates and perpetuates what might be termed the American tripod form of government than does [the Kentucky] Constitution…." *Conn v. Kentucky Parole Bd.*, 701 S.W.3d 76, 85 (Ky. 2024), reh'g denied (Aug. 22, 2024)(quoting *Sibert v. Garrett*, 197 Ky. 17, 246 S.W. 455, 457 (1922)). The Kentucky Constitution is "unique in that it contains 'explicit provisions which, on the one hand, mandate separation among the three branches of government, and on the other hand, specifically prohibit incursion of one branch of government into the powers and functions of the others.'" *Id.* (quoting *Legis. Rsch. Comm'n By and Through Prather v. Brown*, 664 S.W.2d 907, 912 (Ky. 1984)). When interpreting Sections 27 and 28, "the separation of powers is fundamental…and must be 'strictly construed.'" *Scheer*, 21 S.W. at 813 (quoting *Vaughn v. Knopf*, 895 S.W.2d 566, 568 (Ky. 1995)). Therefore, review of whether a Circuit Court's power extends to the expansion of a statute to authorize the City of Hazard to enact a restaurant tax, a city not specifically authorized by the General Assembly, must be strictly construed.

B. Only the General Assembly has the Power to Grant Cities Authority to Enact a Restaurant Tax.

KRS 91A.400 limits the restaurant tax to those cities the General Assembly designated as fourth or fifth class cities as of January 1, 2014. However, the Circuit Court's prescribed remedy severs Section 1 and Section 2 of the statute and removes the word 'authorized' from Section 3, extending the General Assembly's authorization to impose the restaurant tax to the City of Hazard, a city that the General Assembly, by the plain meaning of the statute, never intended to have such authority. Observe – the Court's remedy is an obviously unlawful amendment:

> (1) As used in this section, "authorized city" means a city on the registry maintained by the Department for Local Government under subsection (2) of this section.

> (2) On or before January 1, 2015, the Department for Local Government shall create and maintain a registry of cities that, as of January 1, 2014, were classified as cities of the fourth or fifth class. The Department for Local Government shall make the information included on the registry available to the public by publishing it on its Web site.
>
> (3) In addition to the three percent (3%) transient room tax authorized by KRS 91A.390(1)(b), the city legislative body in an authorized city may levy an additional restaurant tax not to exceed three percent (3%) of the retail sales by all restaurants doing business in the city….
>
> KRS 91A.400 (as altered by the Circuit Court's remedy).

The General Assembly's authorization of the restaurant tax to cities and the limitation of that authorization to cities of the fourth and fifth class go together as "hand and glove". *St. Ledger v. Revenue Cabinet*, 942 S.W.2d 893, 897 (Ky. 1997). "[I]t is evident that [city restaurant tax] and the [limitation of authorized cites to those of the fourth and fifth class] are intertwined and interdependent; one would have not been adopted without the other." *Id.* at 898 (substituting [ ] for similarly related provisions). "[U]nder Ky. Const. § 47, the Legislature is the only branch that has the constitutional authority to tax. This power cannot be exercised by either the executive or judicial branches." *Id.*. "Thus, to invalidate only [the limitation to certain authorized cities] would be a form of judicial activism prohibited by our Constitution." *Id.* (substituting [ ]).

Only the legislature has the authority to impose a tax, *Appalachian Racing, LLC v. Fam. Tr. Found. of Kentucky, Inc.*, 423 S.W.3d 726, 738 (Ky. 2014), but the Circuit Court improperly assumed this exclusive authority in crafting its ordered remedy. A local government's authority to tax can come only from an express grant by the state legislature.[2]

[2]This concept is consistently recognized within the Commonwealth and other states. *See, e.g. Howard Jarvis Taxpayers Association v. Bay Area Toll Authority*, 51 Cal. App. 5th 435, 265 Cal. Rptr. 3d 235 (2020) ("A grant of authority from the legislature 'is an essential prerequisite to all local taxation, because local governments have no inherent power to tax.' And while the legislature 'may authorize local governments to impose' taxes for local purposes, it may not impose local taxes itself" [citations omitted]); *Denver Street LLC v. Town of Saugus*, 462 Mass. 651, 970 N.E.2d 273 (2012) ("A municipality does not have the power to levy, assess, or collect a tax unless the power to do so in a particular instance is granted by the legislature"); *Shanken v. Upper Moreland Tp.*, 203 Pa. Super. 323, 201 A.2d 249 (1964), *aff'd*, 418 Pa. 627, 211 A.2d 283 (1965) (Townships have no "implied or inherent power to impose a tax…unless the power to do so is plainly and unmistakably conferred on them").

Indeed, this Court has previously held that a local county does not have the authority to enact the restaurant tax because the General Assembly expressly provided such authority to fourth and fifth class cities. *Russell Cnty. Fiscal Ct. v. Kelley*, 823 S.W.2d 941, 943 (Ky. App. 1991) ("the General Assembly has given fourth and fifth class cities authority to impose a 3% restaurant tax on its retail sales in KRS 91A.400…Where the General Assembly has given the power to impose a specific tax to one government entity, a fiscal court may not also impose such a tax."). Accordingly, only those cities expressly authorized by the legislature have the power to impose the restaurant tax.

When the General Assembly declines to exercise its powers, those powers do not "flow over the high wall erected by §28 [of the Kentucky Constitution, mandating separation of powers] to another department of government." *Fletcher v. Com.*, 163 S.W.3d 852, 872 (Ky. 2005) ([ ] added). As such, where the General Assembly has not explicitly extended taxing authority to new cities, the courts cannot step into the legislature's shoes. It is the courts' province to determine whether or not a legislative act is in violation of the Constitution, but the power to determine what tax is imposed and the amount of such tax rests exclusively with the legislature. *Hager v. Walker*, 128 Ky. 1, 107 S.W. 254, 260 (1908). From the perspective of the KRA, the Circuit Court's cure for the City of Hazard's revenue problem is worse than the disease.

By crafting the remedy it did, the Circuit Court completely altered the meaning of the statute, against the General Assembly's clearly expressed intent. While the lower court's order is confined to the City of Hazard, the same reasoning may be applied to actions by other cities. Copy-cat cities across Kentucky, which the General Assembly never intended to authorize to impose their own restaurant tax, could run to the judiciary following Hazard's lead.

C. The Circuit Court's Altering of KRS 91A.400 to Expand Taxing Authority to All Cities in Contravention of Legislative Intent Is Not Permissible Severing.

Sections 27 and 28 of the Kentucky Constitution act in concert to: [1] enable each respective branch of government to exercise its own powers, and [2] restrict any branch of government from assuming the powers of another. "Thus, our constitution has a double-barreled, positive-negative approach." *Beshear v. Haydon Bridge Co.*, 416 S.W.3d

280, 295 (Ky. 2013) (quoting *Legislative Research Comm.*, 664 S.W.2d at 912). The tension between these two provisions is highlighted within the doctrine of severability, which on the one hand allows statutes to remain in effect despite a court holding part of a statute is unconstitutional, but on the other requires that the intent of the legislature be maintained. In striking portions of KRS 91A.400, the lower court failed to maintain the clear legislative intent of the General Assembly to limit taxing power under KRS 91A.400 to certain cities. A court does not have the power to utilize the doctrine of severability in contravention of legislative intent.

KRS 446.090, which incorporates the doctrine of severability into the Kentucky Revised Statutes, provides that where a part of a statute is held unconstitutional, the remaining parts of the statute remain in effect. However, such presumption is inapplicable where the "the remaining parts are so essentially and inseparably connected with and dependent upon the unconstitutional part that it is apparent that the General Assembly would not have enacted the remaining parts without the unconstitutional part, or unless the remaining parts, standing alone, are incomplete and incapable of being executed in accordance with the intent of the General Assembly." *Id.* (emphasis added). Thus, legislative intent is paramount to the doctrine of severability.

In determining legislative intent, a court first looks to the plain and ordinary meaning of the language of the statute. *Pearce v. Univ. of Louisville, by & through its Bd. of Trustees*, 448 S.W.3d 746, 749 (Ky. 2014) (quoting *Richardson v. Louisville/Jefferson County Metro Government*, 260 S.W.3d 777, 779 (Ky.2008)). If that language is unambiguous, then the court "need not consider extrinsic evidence of legislative intent and public policy." *Id.* (citing *County Bd. of Educ. Jefferson County v. Southern Pac. Co.*, 225 Ky. 621, 9 S.W.2d 984, 986 (1928)). Here, the meaning of KRS 91A.400 is clear and unambiguous. The General Assembly clearly intended to permit certain cities to impose the restaurant tax, while restricting other cities from imposing the tax. Accordingly, this legislative intent should be maintained in any remedy imposed by the courts. *St. Ledger*, supra.

A court may not circumvent the clear intent of the General Assembly in excising portions of a statute under KRS 446.090. Rather, the function of the judiciary is to "determine and effectuate the legislative intent." *Univ. of Cumberlands v. Pennybacker*, 308 S.W.3d 668 (Ky. 2010)(quoting *Toy v. Coca Cola Enterprises*, 274 S.W.3d 433, 434 (Ky.2008)). A court must "accommodate as fully as possible the policies and judgments expressed in the statutory scheme as a whole." *Com. v. Meyers*, 8 S.W.3d 58 (Ky. Ct. App. 1999) (quoting *Califano v. Westcott*, 443 U.S. 76, 94 (1979)). The Kentucky Supreme Court in *Univ. of Cumberlands v. Pennybacker*, 308 S.W.3d 668, 684 (Ky. 2010), underscored the importance of maintaining the legislative intent when the Court declined to strike a statement of express legislative intent from a statute. *Id.* In that case, the Court concluded that where legislative intent is clear, the judiciary is not "at liberty" to excise or ignore an express statement of legislative intent. *Id.*

Where the remaining portions of a statute would not have been enacted by the General Assembly in the absence of unconstitutional portions, the remaining sections must also be rendered void. *St. Ledger*, supra; *Engle v. Bonnie*, 305 Ky. 850, 854, 204 S.W.2d 963 (1947) ("To remove only Section 4 would be like taking out the motor of an automobile, which leaves the machine of no use. We are quite sure that these other provisions would not have been enacted without Section 4; hence they too must fall." [citing KRS 446.090]). Under the plain language of KRS 446.090, the lower court's remedy is unworkable. If portions of KRS 49A.400 are unconstitutional, then the entire statute must fall, resulting in no city having the authority to levy a restaurant tax. *St. Ledger*, supra. Otherwise, the same reasoning applied by the lower court to the City of Hazard could apply to all cities in the Commonwealth. The natural conclusion of this reasoning is that all cities in the Commonwealth could bring actions resulting in the power to impose the restaurant tax, an outcome clearly not intended by the General Assembly in enacting KRS 49A.400. After severing the offending sections based on the lower court's ruling, the remaining portions of KRS 49A.400 are "incapable of being executed in accordance with the intent of the General Assembly." KRS 446.090.

Kentucky restaurants and their patrons should not be subject to taxation by cities that the General Assembly never intended to have the power to impose a restaurant tax.

It is the duty of the judiciary is to "ascertain and give effect to the intent of the General Assembly…[the Court is] not at liberty to add or subtract from the legislative enactment nor discover meaning not reasonably ascertainable from the language used." *Beckham v. Bd. of Educ. of Jefferson Cnty.*, 873 S.W.2d 575, 577 (Ky. 1994) (citing *Gateway Construction Co. v. Wallbaum*, Ky., 356 S.W.2d 247 (1962)). Stated plainly, a court cannot read requirements out of a statute. *Jenkins v. Commonwealth*, 607 S.W.3d 601, 616 (Ky. 2020) (citing *Com. v. Derringer*, 386 S.W.3d 123, 127 (Ky. 2012)). The General Assembly intended for only certain cities to have the power to enact the restaurant tax. KRS 91A.400 cannot be altered by the judicial branch to extend taxing power like the Circuit Court did below.

CONCLUSION

Separation of powers is paramount under the Kentucky Constitution. The lower court's severance of portions of KRS 49A.400 fundamentally changed it with implications that could reverberate throughout Kentucky, as the reasoning applied by the lower court could be applied to authorize not just a limited class of cities, but rather every city in the Commonwealth to impose the restaurant tax. The General Assembly never intended for a statewide system of local restaurant taxes, imposing burdens across Kentucky on restaurants and their patrons. Amicus urges this Court to reverse the lower court.

Respectfully submitted,
/s/ *Mark A. Loyd*
Mark A. Loyd
Counsel for Amicus Curiae Kentucky Restaurant Association

WORD COUNT CERTIFICATE

This document complies with the word limit of RAP 34(B)(4), because excluding the parts of the document exempted by RAP 15(D) and RAP 31(G)(5), this document contains 3,714 words.

/s/ *Mark A. Loyd*
Mark A. Loyd